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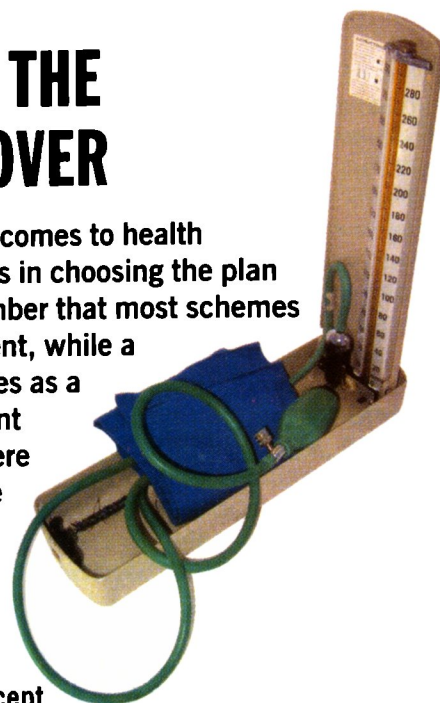
JAGADEESH NV

Invested in: Unit-linked children's plan

My son is four years old now and, as a parent, my only concern is to secure his future with the best possible education I can afford. In the light of rising education costs, I tried to explore a lot of options before settling for a unit-linked children's plan that covers my life and will create a corpus for my son when he is ready to leave school and get into college. I think this plan will yield the desired result.

HOW TO CHOOSE THE RIGHT HEALTH COVER

There's plenty of choice when it comes to health insurance schemes. The trick lies in choosing the plan that will suit your needs. Remember that most schemes offer cover for in-patient treatment, while a few cover treatment and expenses as a day patient; out-patient treatment has just begun to be covered. Here are five points to consider before you decide on what kind of cover to buy.



- » Does the policy offer a choice of hospitals, or do you have to accept treatment at a handful of medical institutions?
- » Does it cover pre-existing diseases? From when does it start covering it?
- » Does the premium go up each year? Does it go up if you raise a claim?
- » How many days of pre- and post-hospitalisation expenses are covered?
- » What are the exclusions or situations that the policy does not cover?

as part of your overall investment strategy, you will come to realise that you can no longer buy and forget all about it. As our lives change, we need to re-evaluate our insurance coverage to ensure that it continues to meet our changing needs. "Start by considering how long ago you bought your life insurance. Were your family circumstances different? Have there been changes in your family's income, savings, debt, or financial goals that could impact your insurance coverage needs?" says Srinivasan, explaining the triggers to re-evaluate insurance needs.

With life insurance, the key is to consider your time-frame, your anticipated income needs, and how much volatility you are willing to accept, and then choose a plan that offers flexibility and allows you to moderate your risk appetite as you age. For instance, if you have just

embarked on your career and have 30-40 working years until you take retirement, a higher exposure, upwards of 70 per cent to stocks, should be reasonably obvious. Taper the equity exposure as you approach retirement. Today, there are asset allocation funds that let you maintain such a balance in your ULIPs. Whatever your investor profile—whether first-time investor or experienced retiree—there is an insurance plan that can help you reach your goals.

Excerpted from **Money Today** cover story
"Life Insurance: for Protection and Prosperity".

For more stories on life insurance
read **Money Today** issue
dated October 18

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